# Findings following the initial meeting with Joe

**Business background:**

Joe runs a fried chicken fast food chain as a franchisee with over 50 stores dotted across the U.S. with an annual turnover of $80 million. The business employs over 400 full- and part-time employees. He started the business with a small store located in the suburbs of Louisiana 20 years ago and has experienced phenomenal success since then.

Joe has a store manager for each location who is supported by junior staff. The store manager is responsible for the day-to-day running of the store and is required to submit daily reports to the head office and the regional managers by the end of each day.

The regional managers are responsible for up to five stores located in close proximity. They are responsible for hiring and training staff and are required to run off-site training days for recruits across their sites. They are required to resolve issues that store managers can't, such as temporary staff shortage, which is resolved by bringing staff from other stores, making urgent purchases if a store has run out of supplies, etc. They are required to visit each store under their jurisdiction every day and offer supervision and guidance to store managers. They are also required to spot and advise any potentially profitable location with a very high footfall as a potential site for the opening of a new store. They are required to visit the head office every quarter in Louisiana for quarterly meetings.

The inventory (chicken, oil, etc.), which is largely predictable, is ordered centrally for the 50 stores on a 30-day credit period one week in advance of delivery. Any urgent transactions are paid in cash by the regional managers, who are then reimbursed upon presentation of a receipt. All travel expenses (including overnight stays for quarterly meetings) are paid out of pocket, which again is reimbursed upon presentation of a receipt. All transactions are conducted in USD using online modes of payment, cash, check, or bank transfer. All payments to employees (i.e., salaries or expense reimbursements) are made through checks issued fortnightly.

**Unaddressed business needs:**

Currently, regional managers pay for any ad-hoc inventory purchases, travel between sites daily, air/rail/road travel, overnight stays for quarterly meetings, training day expenses, etc. in cash, which is then reimbursed via cheque upon presenting receipts. This is a very outdated process as the receipts are entered manually into the system and then payments are made via cheque produced at the head office on a fortnightly basis. This cheque is then posted to the employee at the store. This cumbersome process has several limitations, such as:

- This process is very time-consuming as all expenses/payments are manually entered into the system with a risk of typos and incorrect payments being made.
- There is an additional cost of postage as cheques are mailed from the head office to the stores.
- Occasionally, there is a risk that the cheques are lost or misplaced in the post. This then requires the cheque to be identified and cancelled, and a replacement to be issued. This again is a time-consuming and costly process.
- Since the expenses are reimbursed upon presentation of receipts, there is a higher risk of fraud as there is a possibility of fake receipts or payments being made for non-business-related outgoings.
- Due to the delay in the presentation of receipts and payments, the business's Profit & Loss account does not accurately reflect profitability figures at any point in time.
- There is no check and balance, or limits on the spending of the regional managers.

Joe wants to get rid of the existing expense reimbursement process due to several limitations, and the additional inherent costs and risks involved. He would love to move to a sleeker way of paying for these ad-hoc expenses and have a better check and balance over these.

The new payment system will become more attractive as Joe has an ambitious growth plan of doubling the number of stores in the next 5 years as he wishes to expand his chain to the UK and central Europe.